TYRE SECTOR • FY26 EQUITY RESEARCH NOTE

CEAT LIMITED

Company Overview & Ratio Analysis — FY26

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Company Overview & Ratio Analysis Rationale

ABOUT CEAT LIMITED

CEAT Limited, part of the RPG Group, is one of India's leading tyre manufacturers, tracing its origins to 1958. The company designs, manufactures and sells tyres, tubes and flaps across two-wheelers, passenger vehicles, trucks, buses, tractors and off-highway segments, exporting to over 110 countries.

FY26 KEY FINANCIALS

REVENUE

₹15,678 Cr

FY26 consolidated revenue, +18.6% YoY

PAT

₹697 Cr

FY26 profit after tax

OPM

~14%

Operating margin, FY26 exit run-rate

RATIONALE

- **Profitability** — earning efficiency
- **Liquidity** — short-term strength
- **Solvency** — financial risk
- **ROE / ROCE** — shareholder & capital return
- **Dividend Yield** — shareholder income

THESIS

Strong FY26 revenue growth and a sharp margin recovery are supportive; tighter short-term liquidity, moderate leverage from capex, and a modest dividend yield still warrant attention.

Profitability & Return Ratios

Formula, working and interpretation — FY26

1. Operating Profit Margin

Formula: Operating Profit ÷ Revenue × 100

Working: ~14% (Q4 FY26 exit run-rate)

~14%

CEAT's operating margin strengthened through FY26, exiting the year near 14%, aided by GST rate cuts, strong volume growth and cost discipline across segments.

2. Net Profit Margin

Formula: PAT ÷ Revenue × 100

Working: ₹697 ÷ ₹15,678 × 100 = 4.45%

4.45%

CEAT converted about 4.5% of FY26 revenue into net profit, marking a sharp rebound from FY25's compressed margins on softer volumes and higher costs.

3. Return on Equity (ROE)

Formula: PAT ÷ Equity × 100

Working: ₹697 ÷ ₹4,376 × 100 = 15.93%

15.93%

An ROE near 16% reflects healthy returns generated on shareholders' capital, driven by the strong FY26 profit recovery.

Liquidity, Solvency & Dividend Ratios

Formula, working and interpretation — FY26

1. Current Ratio

Formula: Current Assets ÷ Current Liabilities

Working: ₹3,430 ÷ ₹5,160 = 0.67x

0.67x

A current ratio below 1x means current liabilities exceed current assets, pointing to tighter short-term liquidity than the ideal 1-2x benchmark.

2. Debt-to-Equity

Formula: Debt ÷ Equity

Working: ₹2,136 ÷ ₹4,376 = 0.49x

0.49x

Moderate leverage reflects capex-led borrowing for capacity expansion, including the Camso acquisition, while staying within a manageable range.

3. Dividend Yield

Formula: DPS ÷ Market Price × 100

Working: ₹30 ÷ ₹3,900 × 100 = 0.77%

0.77%

FY26 dividend of ₹30/share against a high market price results in a modest yield, typical of a growth- and capex-focused capital allocation stance.

Efficiency, Capital & Valuation Ratios

Formula, working, result and view — FY26 / TTM

Ratio	Formula & Working	Result	View
ROCE	Company/market-reported FY26 ratio FY26 reported ratio	~19%	Positive
Interest Coverage Ratio	EBIT ÷ Interest Expense Company/market-reported FY26 ratio	~3.3x	Moderate
Asset Turnover Ratio	Revenue ÷ Total Assets Company/market-reported TTM ratio	1.25x	Positive
EPS & P/E Ratio	EPS = PAT ÷ Shares; P/E = Market Price ÷ EPS Company/market-reported TTM figures	₹145.89 / 23.5x	Positive

Overall View – CEAT Limited

Synthesis across profitability, liquidity, solvency, efficiency and valuation

STRENGTHS

- Strong FY26 revenue growth (+18.6% YoY) with a sharp margin recovery through the year
- Healthy double-digit ROE (~16%) and an improving ROCE trend (~19%)
- Efficient capital use — asset turnover (1.25x) ahead of the industry average
- Reasonable valuation for a recovering cyclical, at ~23-24x trailing earnings

WATCH-OUTS

- Short-term liquidity is tighter than ideal — current ratio of 0.67x is below 1x
- Moderate, capex-driven leverage (debt-to-equity 0.49x) from capacity expansion
- Interest coverage (~3.3x) leaves only a moderate cushion as borrowings rise
- Modest dividend yield (0.77%), reflecting a growth- and reinvestment-focused stance

OVERALL VIEW

CEAT's FY26 numbers tell a cyclical-recovery story: profitability and capital efficiency are both improving, funded partly by debt taken on for capacity expansion. The combination of strong returns, tighter short-term liquidity and a capex-heavy balance sheet is typical of a growth phase rather than a distress signal — worth monitoring as leverage and liquidity trend over the next few quarters.